

23STCV28338 23STCV28338

County: los-angeles

Division: Civil Law and Motion

Department: 224

Hearing date: 2026-09-17

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Case Number: 23STCV28338 Hearing Date: September 17, 2026 Dept: 224

Mandy C. Mena et al., v. Adobe Communities

TENTATIVE RULING

The Motion for Court Approval of the Parties' PAGA Settlement is CONTINUED for Moving Party to reconcile the amount allocated to PAGA Penalties with the terms of the Settlement Agreement.

The Motion hearing and Order to Show Cause Re Dismissal for Settlement are continued to November 16, 2026 at 9:00 a.m.

ANALYSIS

Introduction

On October 20, 2022, Plaintiff Mena filed a Representative Action Complaint in Los Angeles Superior Court, Case No. 22STCV33949, alleging a single cause of action for civil penalties under PAGA predicated on Labor Code sections 201, 202, 203, 226(a), 226.7, 510, 512, 1194, 1194.2, 1199, and 2802.

On November 20, 2023, Plaintiffs Zamora and Perez filed a Representative Action Complaint in this action, Case No. 23STCV28338, alleging the same single PAGA cause of action.

On February 6, 2024, Defendant moved to compel arbitration. The Court granted the motion on July 25, 2024, and Plaintiffs Zamora and Perez separately initiated arbitration before ADR Services, Inc. on August 13, 2024.

On June 25, 2025, the parties participated in an all-day mediation before Kevin Barnes and reached a tentative settlement.

On February 10, 2026, Plaintiffs filed a Consolidated First Amended Representative Action Complaint consolidating the Mena and Zamora/Perez actions. The First Amended Complaint is the operative pleading.

On July 2, 2026, Plaintiffs filed the instant Motion for Approval of Representative Action Settlement pursuant to Labor Code section 2699(l)(2).

Legal Standard

Labor Code § 2699(l)(2) states: “The superior court shall review and approve any settlement of any civil action filed pursuant to this part [Labor Code Private Attorneys General Act of 2004 (“PAGA”)]. The proposed settlement shall be submitted to the [Labor and Workforce Development Agency (“LWDA”)] at the same time that it is submitted to the court.” Any settlement of any civil action filed under PAGA must be “fair and adequate in view of the purposes and policies of the statute.” (Flores v. Starwood Hotels & Resorts Worldwide, Inc. (C.D. Cal. 2017) 253 F.Supp.3d 1074, 1077, quoting O’Connor v. Uber Technologies, Inc. (N.D. Cal. 2016) 201 F.Supp.3d 1110, 1135.)

Seventy-five percent of all PAGA penalties must be paid to the LWDA. (See Lab. Code, § 2699(i) [“Except as provided in subdivision (j), civil penalties recovered by aggrieved employees shall be distributed as follows: 75 percent to the Labor and Workforce Development Agency for enforcement of labor laws and education of employers and employees about their rights and responsibilities under this code, to be continuously appropriated to supplement and not supplant the funding to the agency for those purposes; and 25 percent to the aggrieved employees.”].) Courts have discretion to approve settlements that do not allocate any penalty amount.

(Nordstrom Com. Cases (2010) 186 Cal.App.4th 576, 589). Labor Code § 2699(g)(1) provides, in relevant part: “Any employee who prevails in any action shall be entitled to an award of reasonable attorney’s fees and costs” (Lab. Code, § 2699(g)(1).)

Discussion

As an initial matter, Plaintiffs have presented evidence the parties complied with Labor Code section 2699(l)(2) by submitting a copy of the Settlement and instant motion to the LWDA at the same time they were submitted to the Court. Proof of submission and a copy of the email from the LWDA confirming receipt is filed with the Court. (Kingsley Decl. ¶149, Exh. 6.)

With respect to the distribution of the PAGA settlement, the Court cannot determine whether the parties’ agreement is proper at this juncture. After engaging in informal discovery and participating in an all-day mediation on June 25, 2025, with mediator Kevin Barnes, Plaintiffs and Defendant were able to reach a settlement of Plaintiffs’ PAGA claims. (Kingsley Decl. ¶19; Settlement Agreement ¶2.4.) Pursuant to the Settlement Agreement, the parties agreed that Defendant will pay a Gross Settlement Amount of \$210,000.00. (Kingsley Decl. ¶22, Exh. 1, Settlement Agreement ¶¶1.10, 3.1.)

The parties have agreed to a proposed distribution of the Gross Settlement Amount as follows: (1) \$69,972.00 for attorney’s fees, (2) \$18,125.81 for litigation costs, (3) \$4,750.00 for settlement administration costs, (4) \$15,000.00 in enhancement payments to the three named Plaintiffs, and (5) the Net Settlement Amount — i.e., the amount remaining from the Gross Settlement Amount after deducting attorney’s fees, litigation costs, settlement administration costs, and the enhancement payments — for PAGA penalties, wherein 75% would be paid to the LWDA and 25% would be paid to all aggrieved employees. (Kingsley Decl. ¶23, Exh. 1, Settlement Agreement ¶¶1.15, 3.2.)

The Court is unable to reconcile the amount identified as PAGA Penalties with the remaining terms of the Settlement. Plaintiffs seek approval of \$115,152.19 in PAGA Penalties, with \$86,364.14 to the LWDA and \$28,788.05 to the aggrieved employees. (Kingsley Decl. ¶23.) The Settlement Agreement itself recites PAGA Penalties of \$112,278.00, with \$84,208.50 to the LWDA and \$28,069.50 to the aggrieved employees. (Settlement Agreement ¶3.2.4.) Neither figure follows from the Agreement’s own definition of the Net Settlement Amount, which is the Gross Settlement Amount less the Enhancement Payment, the PAGA Counsel Fees

Payment, the PAGA Counsel Litigation Expenses Payment, and the Administration Expenses Payment. (Settlement Agreement ¶1.15.) Applying that definition to the amounts requested — \$210,000.00 less \$69,972.00 in fees, \$18,125.81 in costs, \$4,750.00 in administration expenses, and \$15,000.00 in enhancement payments — yields \$102,152.19, not \$115,152.19. The requested figure appears to overstate the Net Settlement Amount by \$13,000.00, which is the difference

between the \$15,000.00 in enhancement payments the parties have agreed to and the \$2,000.00 that appears to have been deducted in arriving at the \$112,278.00 figure recited in paragraph 3.2.4 of the Agreement. Because the amount of PAGA Penalties determines the sums payable to the LWDA and to the aggrieved employees, this discrepancy must be resolved before the Court can approve the Settlement.

With respect to the civil penalties, the proposed distribution complies in form with Labor Code section 2699(i), which requires 75 percent of the amount to be paid to the LWDA and 25 percent of the amount to be paid to the aggrieved employees, which consists of all non-exempt employees who worked for Defendant at any time during the PAGA Period, defined as August 16, 2021 through and including August 25, 2025. (Settlement Agreement ¶¶1.19, 1.23.) Defendant estimates there are approximately 253 aggrieved employees who worked a total of 10,789 pay periods during the PAGA Period. (Settlement Agreement ¶4.1.) Each aggrieved employee will receive a pro rata share of the 25% allocation based on the number of pay periods worked. (Kingsley Decl. ¶25; Settlement Agreement ¶3.2.4.1.)

The Court finds the release under the PAGA Settlement Agreement is fair and reasonable under the statute. The release as to the aggrieved employees is appropriately limited to claims for civil penalties under PAGA that were alleged, or could have been alleged, based on the facts and circumstances identified in Plaintiffs' PAGA Notices of August 15, 2022 and September 13, 2023 and in the complaints filed in this Action, arising during the PAGA Period, including claims for alleged failure to pay all wages including overtime; failure to provide meal periods and rest breaks; failure to provide accurate wage statements; failure to reimburse business expenses; and failure to timely pay wages upon termination, under Labor Code sections 201–203, 226(a), 226.7, 510, 512, 1194, 1194.2, 1199, 2802, and the applicable I.W.C. Wage Orders. (Settlement Agreement ¶¶1.28, 5.2.) The aggrieved employees do not release any other individual claims. The broader general release set forth in paragraph 5.1 applies only to the three named Plaintiffs, who have separately settled their individual claims and who have each submitted declarations acknowledging the terms of the Settlement. (Settlement Agreement ¶¶3.2.1.)

With respect to the enhancement payments, the Settlement provides for a payment of \$5,000.00 to each of the three named Plaintiffs, for a total of \$15,000.00. (Settlement Agreement ¶3.2.1; Kingsley Decl. ¶145.) Each Plaintiff has submitted a declaration describing his or her participation in the litigation, including retaining counsel, gathering documents, providing information regarding employment conditions, maintaining regular contact with counsel, attending a full day of mediation, and reviewing the settlement documents, and each estimates having spent approximately 10 to 15 hours on this matter. (Mena Decl. ¶¶5-7; Zamora Decl. ¶¶5-7; Perez Decl. ¶¶5-7.) Incentive awards are appropriate to compensate representative plaintiffs for work performed and for the financial and reputational risk undertaken in bringing the action. (Munoz v. BCI Coca-Cola Bottling Co. of Los Angeles (2010) 186 Cal.App.4th 399, 412.) Subject to the reconciliation discussed above, the Court would find the requested enhancement payments reasonable.

With respect to attorney's fees, Plaintiffs' counsel has provided the hourly rates and experience of each attorney and the approximate amount of time each attorney spent prosecuting and resolving this matter. (Kingsley Decl. ¶¶116-133.) Counsel calculates an aggregate lodestar of \$50,622.00, representing 72.50 hours of attorney time, which includes 52.50 hours incurred through the filing of this Motion and 20 anticipated future hours. (Kingsley Decl. ¶132.) The requested fee of \$69,972.00 represents approximately one-third of the Gross Settlement Amount and reflects a multiplier of 1.38. (Kingsley Decl. ¶134.) After accounting for the time spent, counsel's experience, the contingent nature of the representation, and the results achieved, the Court finds the requested \$69,972.00 in attorney's fees is reasonable and proper in this case.

Regarding the \$18,125.81 requested in litigation costs, a costs ledger itemizing the expenses incurred is included with counsel's declaration. (Kingsley Decl. ¶¶138–144, Exh. 5.) This is sufficient to justify the \$18,125.81 requested in litigation costs, which is below the \$21,000.00 cap provided in the Settlement Agreement.

With respect to the settlement administration costs, the Settlement allocates \$4,750.00 in payment for the costs of the Settlement Administrator, Phoenix Class Action Administration Solutions ("Settlement Administrator"), associated with administration of the Settlement. (Settlement Agreement ¶3.2.3.) Plaintiffs have submitted a declaration from the Settlement Administrator attaching a "will not exceed" quote in the amount of \$4,750.00 and attesting to its qualifications, its data security procedures, its errors and omissions and cyber insurance coverage, and the absence of any conflict of interest. (Lawrence Decl. ¶¶4-22, Exhs. A, B.) Based on the above, the Court would award settlement administration costs in the amount of \$4,750.00.

Conclusion

Based on the foregoing, the Motion for Court Approval of the Parties' PAGA Settlement is CONTINUED for Moving Party to reconcile the amount allocated to PAGA Penalties with the terms of the Settlement Agreement.

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Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at SMCDept224@lacourt.org indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative as the final order, or take the matter off calendar at its discretion.